debited to the asset and credited to profit and loss account.

ADVANTAGES

1. It is easy to understand and simple to implement.
2. Depreciation is calculated every year in the opening balance of asset.
3. This method equalizes the yearly burden on profit and loss account in respect of depreciation.

DISADVANTAGES

1. This method charges heavy amount of depreciation in earlier years.
2. It is difficult to assess the life of these assets, calculation of depreciation becomes complicated.
3. The formula to obtain rate of depreciation can be applied only when there is residual value of the asset.
4. This method has limited applicability.

SUITABILITY

This method can be used for specific assets like loose tools, copyrights, trademarks, etc.,

7. DEPLETION METHOD

This method is specially used for those assets which deplete with use. The cost of the assets is divided by total workable deposits. The depreciation rate is calculated by dividing the cost of the asset by the estimated quantity of product likely to be available. Annual depreciation will be the quantity extracted multiplied by the rate per unit.

For example, If a mine has 2 lakh tons of coal and the value of mine is ₹ 5 lakhs, each ton of coal will cost ₹ 2.50. The quantity of coal taken out of the mine in a period will be multiplied by the rate per ton, i.e., ₹ 2.50 and the resultant figure will be the amount of depreciation.

ADVANTAGES

1. It provides a method to charge amortization or depreciation for the companies dealing in resources, as these assets are different in nature and consumption, from other fixed assets like car, building etc.
2. The method is easy to understand.

DISADVANTAGES

1. The method is simply used for a periodic reduction in the cost of the asset.
2. The method is highly subjective especially the number of units to be extracted is difficult to estimate.

SUITABILITY

This method is suitable for mines, quarries, sandpits, etc.

8. MACHINE HOUR RATE METHOD

Under this method, the life of a machine is estimated in terms of its working hours instead of years. The total number of hours in which a particular machine will work efficiently is estimated. The estimated number of hours is then divided by the cost of the machinery less residual value to ascertain the hourly rate of depreciation.

This method is considered more scientific and precise than either the fixed instalment method or the diminishing balance method.

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